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FROM: Pragmata Partners — Pratik Chougule
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RE: French Budget 2026–2027: Update

With the government scheduled to present its budget tomorrow, I wanted to provide you with our analysis of where things stand on the budget negotiations.

The below analysis is from a colleague of ours in Paris with strong relationships in the National Assembly.

He appears to differ from Political Alpha in the sense that he anticipates difficult budget negotiations which could lead to censure and even Macron deciding to dissolve the National Assembly.

Here are his key points:

- **Socialist Primary:** The Socialist primary will make budget negotiations difficult throughout the month of October. If Secretary General Oliver Faure pulls off an upset in the primary against Raphael Glucksmann, the Socialist Party is more likely to push for censure of the government.
- **The fall of the government and the dissolution of the National Assembly are serious possibilities.**

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The single strongest market effect, however, could materialize if President Macron were to respond to such a censure by dissolving the National Assembly altogether, thereby calling early legislative elections either at the end of 2026 or in January 2027. This scenario is considerably less likely, at around 5-10%, but were it to occur, the resulting market concern and uncertainty would be very significant indeed.”

Budget Updates

The government has stated that it rules out any tax increase, whether targeting individuals or businesses, and **this position extends specifically to mechanisms such as the CIR** (a tax reduction for profits invested in research) **and the Pacte Dutreil** (a reduction in inheritance tax applied to business transfers), neither of which would be touched under the current plans. Alongside this, **the budget is being designed with an eye toward "reversibility,"** meaning that should a different parliamentary majority be elected in 2027, that new majority would be able to modify the budget's provisions without significant difficulty or structural obstacles. **Compounding these considerations, poor economic figures recorded over recent quarters have pushed the government to revise its deficit forecasts upward for both 2026 and 2027**, a shift that carries consequences beyond the budget itself. **It affects interest rates, which have already been climbing in recent weeks and could rise even further now that previous, more optimistic targets have effectively been abandoned.**

On the social policy side, the government appears increasingly willing to ask the wealthiest retirees to contribute more, with the possibility that the highest pensions could be frozen outright rather than continuing to be indexed to inflation as they currently are. **Turning to**

corporate taxation, the surtax on large companies' profits will be reduced, though not eliminated entirely, which sends a somewhat mixed signal to the business community. Many had hoped the surtax would disappear altogether, while others feared it might simply be maintained at its existing level, so a partial reduction lands somewhere between those two expectations. **Meanwhile, the most contested savings measure in the healthcare portion of the budget has had to be scaled back considerably under political pressure.** This measure concerned medical deductibles (franchises médicales), which had originally been slated to rise from €100 to €200, but which will now only increase to €140, a much more modest adjustment than initially planned. By contrast, the social minima will not be frozen, and will continue to be indexed to inflation just as before.

Budget Adoption

Within the Socialist Party, Secretary General Faure has expressed his belief that the government will ultimately be censured, and he currently appears to be adopting a hard line throughout the budget negotiations, a stance that is probably connected to his own candidacy in the upcoming Socialist primary ahead of the 2027 presidential election. **This hardening of positions clearly increases the likelihood that the government will resort to ordinances** (executive decrees) to push the budget through, while correspondingly decreasing the likelihood of a negotiated use of Article 49.3. **If a rough estimate were to be made, the odds might currently stand at roughly 50–60% for ordinances, 30–40% for a negotiated 49.3, and only 5–10% for the fallback option of a special law (loi spéciale).**

Whatever path is ultimately taken, the question of exactly how and if the budget will be adopted stands out as the single most important variable for the financial markets, and it appears to be particularly relevant for those attempting to forecast political and economic outcomes in the months ahead.

A great deal may hinge on the outcome of the Socialist primary itself, which is scheduled to take place on October 9–10 for the first round and October 16–17 for the second round, with Faure and Glucksmann standing as the two candidates.

Faure is pursuing a hard line against the government, one that is favorable to forming alliances with the broader left, potentially even extending to Mélenchon's La France Insoumise; should he emerge victorious from the primary, budget discussions with the government could become considerably more difficult as a result.

Glucksmann, on the other hand, categorically rules out any agreement with Mélenchon and instead represents the more moderate wing of the Socialist Party. **Glucksmann has stated clearly that a budget is necessary, even if not one accepted under just any conditions, which suggests he is considerably more open than Faure to eventual negotiation and compromise.**

Given that the Socialist primary campaign will be running throughout this period, September and October are likely to be particularly difficult months for the budget negotiations, as each candidate seeks to position himself favorably and demonstrate his political determination to primary voters. **November and December, once the primary has concluded, could prove somewhat easier for negotiations, though this outcome is by no means guaranteed.**

Impact on Markets

The so-called Zucman tax would likely have a substantial effect on financial markets, given that it would directly impact a large number of business leaders and high-net-worth

individuals. **It is highly likely that both the central bloc and the political right will oppose this tax at all costs**, viewing it as a significant threat.

Deficit targets are also likely to weigh on market sentiment. Whereas the initial target for 2027 called for a public deficit of 4.3% of GDP, **the final, revised target for 2027 now stands at 5%**, and this figure does not account for a supplementary budget that is expected to be voted on in the summer of 2027, meaning the real trajectory could shift further still.

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Motion of No Confidence (Motion de Censure)

A motion of no confidence represents the mechanism by which the National Assembly can overthrow the sitting government. Such a motion can be filed so long as it is backed by at least 10% of members of parliament, which translates to 58 out of the Assembly's 577 total deputies.

In practical terms, this threshold means the motion can realistically be filed by Marine Le Pen's Rassemblement National together with its allies (139 MPs in total), by Jean-Luc Mélenchon's La France Insoumise (71 MPs), or by the remainder of the left more broadly (123 MPs, a figure that includes the Socialist Party). However, simply filing the motion is not sufficient to bring down the government. **For it to actually succeed, it must secure an absolute majority of votes, which in the current Assembly amounts to 289 votes in favor. Crucially, only votes explicitly cast "in favor" of the motion are counted toward this threshold.** Abstaining, declining to vote at all, or even voting against the motion are all treated identically in this respect, meaning that even if there were technically more votes in favor than against, the government would still survive unless the "in favor" count specifically reaches 289. **This reflects the broader logic of French parliamentarism, which functions as a "negative" parliamentary system: what ultimately matters for a government's survival is not securing an active majority in support, but rather simply avoiding having an absolute majority mobilized against it.**

Doing the arithmetic, the Rassemblement National and its allies account for 139 MPs, the left excluding the Socialist Party accounts for a further 126 MPs, and 5 additional non-affiliated MPs are also opposed to the government, **bringing the total bloc of absolute opposition to the government to 270 elected members. To bridge the remaining gap and reach the required 289 votes, this opposition bloc would need to secure the additional votes of either the Socialist Party (which holds 68 seats) or the right-wing Les Républicains (which holds 48 seats).**

Difficult Measures

The government is planning an overall savings package worth €54 billion, built up from numerous and varied measures targeting social spending in particular. In practice, however, **the actual savings achieved will likely end up being smaller than this headline**

figure, given the extent of negotiation that will be required simply to get the budget adopted in the first place. Among the various measures under consideration, **all those touching on healthcare or the reimbursement of medical care are expected to prove deeply unpopular** across virtually the entire population, and their adoption would likely be highly contested, not only among the public but within parliament itself. **Measures affecting retirees are similarly viewed with rejection, particularly those that would fall on lower-income retirees specifically.** By contrast, **measures targeting wealthier retirees tend to be less strongly rejected, and could therefore pass more easily when tested against public opinion.** Any measure that proves unpopular in this way stands to hurt the electoral prospects of central-bloc candidates specifically, and would consequently work to strengthen the relative positions of both Le Pen and Mélenchon.

More broadly still, any perceived failure of the budget process, or even a general impression of political chaos surrounding it, will likely be blamed on the central bloc as a whole and, by extension, on its two presidential candidates, Philippe and Attal. This follows from the fact that the center is widely perceived as currently holding power, and will therefore be held primarily responsible should things go wrong.

Key Figures on Fiscal Policy

Sébastien Lecornu, Prime Minister. Part of Macron's governments since 2017, he has served as Minister for Overseas Territories and Minister of Defense. He has led the government since October 2025. He will settle all strategic and important arbitrations concerning the budget. In previous budgets, he negotiated agreements with the Socialist Party to obtain circumstantial parliamentary majorities. He is trying both to avoid his government's fall while reducing debt and preserving the government's economic policy. He is recognized as a man of dialogue, open to compromise.

David Amiel, Minister of the Budget. He will draft the initial version of the budget, and thus make the first arbitrations and set the general line. He has been an advisor to Emmanuel Macron since 2015, and took part in his 2017 and 2022 presidential campaigns. He was elected as a Renaissance MP for Paris in 2022, and entered government in November 2025 as Minister of the Civil Service. He has been Minister of the Budget since February 2026. He embodies a fairly economically liberal line, very favorable to businesses and structural economic reforms. He supports Gabriel Attal for the 2027 presidential election.

Roland Lescure, Minister of the Economy. He is closely involved in budget discussions, particularly everything concerning businesses. An economist and very close to Emmanuel Macron, he has been the Renaissance MP for French citizens in North America since 2017. He was chair of the Economic Affairs Committee from 2017 to 2022, before becoming Minister of Industry until 2024. Since October 2025, he has been Minister of the Economy, and was at one point mentioned as a possible Prime Minister before Lecornu's appointment. He embodies a line very favorable to businesses and reindustrialization.

Stéphanie Rist, Minister of Health. She is involved in all budget discussions touching on health issues, a significant part of the budget. A former doctor, she has been the Renaissance MP for Orléans since 2017. She specializes in health and social budget issues. She has been Minister of Health since October 2025.

Jean-Pierre Farandou, Minister of Labor and Solidarity. He is also involved in budget discussions, but for the social aspects. He was president of Kéolis, a private transport company, from 2012 to 2019. He then served as president of SNCF, the public rail company,

from 2019 to 2024. He has been minister since October 2025, chosen for his social dialogue skills with unions across his various corporate roles. He is not a member of any political party.

Philippe Juvin, General Rapporteur for the budget in the National Assembly. He will serve as the budget's rapporteur in the National Assembly, responsible for coordinating MPs' work on the text. A former doctor, he has been involved in politics since the 2000s, holding numerous positions (mayor, local official, MEP...). He was elected as a Les Républicains MP for the Paris suburbs in 2022. Within Les Républicains, he has always favored an agreement with the center.

Jean-René Cazeneuve, Renaissance MP for Gers. He held senior positions in several telecommunications companies (Apple Europe, Bouygues Telecom...). He has been the MP for Gers since 2017. He was General Rapporteur for the budget from 2022 to 2024, before the dissolution. He is the coordinator of Renaissance MPs on budget matters, and one of the group's spokespersons on the subject.

Sophie Primas, Les Républicains Senator for Yvelines. Elected senator since 2011, she is an important figure of the Senate's right. She was a member of government from September 2024 to October 2025, in fairly minor roles. However, she is the favorite to become General Rapporteur for the budget in the Senate starting October 2026. This would give her very strong influence over the budget's examination in the Senate.

Christine Lavarde, Les Républicains Senator for Hauts-de-Seine. Elected senator since 2017, she is known for her technical grasp and expertise on public finances. She could become General Rapporteur for the budget in the Senate starting October 2026, although Sophie Primas is the favorite.

Olivier Faure, Secretary General of the Socialist Party and MP. As head of the PS, a party indispensable for passing a budget, he will have strong influence during budget negotiations. He has been the Socialist Party's secretary general since 2018. He embodies a line favorable to left-wing unity, including with Mélenchon. On the budget, he appears to be taking a hard line with respect to the government. He is running in the Socialist primary for the 2027 presidential election.

Boris Vallaud, President of the Socialist group in the National Assembly. As group president, he too will be heavily involved in budget discussions, and could serve as a counterweight to Faure. He is fairly centrist within the party, between the left wing and moderates. But for the primary, he supports Glucksmann, the moderates' candidate. He could therefore take a softer line than Faure in budget negotiations.